

Why Did Shanxi PiaoHao remain kinship-based partnerships while German universal banks evolved into corporate institutions in the 19th century? A

Comparative Study, 1842–1913

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Introduction

The 19th century marked a decisive divergence between China and Europe in the institutional foundations of trade and finance. In Europe after 1815, corporate legal frameworks and the rise of universal banks consolidated a financial system that scaled across regions, integrated trade finance with industrial investment, and stabilized credit through public debt markets and central banks. In China after the Treaty of Nanking in 1842, the Shanxi PiaoHao created a nationwide remittance network and the Maritime Customs Service generated reliable revenues, yet international finance was increasingly intermediated by foreign banks.

This paper asks how cultural perceptions of power shaped these diverging paths. Referring to Lucian Pye's (1985, 1988) concept of "primitive power", the study argues that China's political culture emphasized the constant threat of disorder and therefore legitimated strong state control, while Europe's corporate traditions enabled autonomous organizations and financial deepening. By comparing the Shanxi PiaoHao with German universal banks, the paper examines how different organizational logics

reflected deeper cultural and political assumptions, and how these differences reinforced authoritarian resilience in China.

Problématique

A rich number of literatures had demonstrated that China entered the 19th century with long-standing commercial traditions and relatively integrated markets, yet it failed to develop financial institutions on a scale comparable to Europe. Archival studies show that the PiaoHao effectively solved the problem of long-distance remittances and fiscal transfers, but remained partnerships based on kinship and reputation. Without limited liability or transferable equity, they could not expand into modern banking corporations (Morck 2010). The Qing state relied on them as fiscal auxiliaries, embedding finance within state control rather than allowing autonomy.

The opening of treaty ports after 1842 integrated China into global trade, but foreign banks dominated international finance and customs revenues were pledged to external creditors. Europe, by contrast, developed universal banks that mobilized external capital, diversified across trade and industry, and maintained independence under corporate law (Cameron 1967; Guinnane 2001).

Thus, the problématique is: how can we explain why China's highly efficient but kinship-based finance did not turn into corporate banking, while Europe's corporate

institutions developed and deepened? This paper argues that Pye's theory of primitive power provides the answer: in China, rulers prioritized order and regime survival, reinforcing fiscal embedding and authoritarian resilience over financial modernisation.

Literature Review

The debate on the Great Divergence produces rich literatures. Early arguments stressed the parity between the Yangzi Delta and advanced Europe until the 18th century (Pomeranz 2000). More recent quantitative work shows China lagging earlier: Broadberry, Guan, and Li (2018) reconstruct GDP series and find per capita incomes declining after the 17th century.

Scholars then turned to cultural and organizational explanations. Pye (1988) highlighted that Asian societies conceived disorder as latent in the future, legitimizing strong authority. Mokyr and Tabellini (2024) emphasized the role of corporate bodies in Europe versus clan organizations in China. Florence (2010) documented how Confucian traditions privileged agriculture and state dominance, casting suspicion on commerce.

Research on the PiaoHao adds micro-level evidence. Morck (2010) describes them as relational financiers rather than modern banks. Wang (2024) argues that we should see

the PiaoHao as successful within their own institutional logic—reducing transaction costs across the empire—yet they did not generate transferable equity or securities markets.

Meanwhile, foreign institutions reshaped China's financial landscape. Jia (2014, 2019) shows that treaty ports generated long-term local advantages, but largely through the presence of foreign banks and customs institutions. This created a dual-track structure: indigenous finance embedded in kinship and state control, and international finance dominated by foreign corporations.

Thus, the literature points out a coherent sequence, that, early commercial sophistication in China, divergence through Europe's corporate institutions, and persistence of China's kinship-based finance. Pye's primitive power framework linked these findings together, in a political culture where order had to be preserved at all costs, rulers chose fiscal embedding over financial autonomy, producing authoritarian resilience rather than modernisation.

Research Design

This study compares the Shanxi PiaoHao from 1840s to 1900s, with German universal banks from 1850s to the end of 1913. Both were central financial institutions in their

respective contexts and performed overlapping functions—trade finance, remittances, and fiscal or industrial intermediation—yet differed in organizational form.

The methodology is comparative-historical analysis with process tracing, with 2 main analytical perspective:

1. Organizational form: partnerships vs. joint-stock corporations.
2. State relationship: fiscal embedding vs. contractual cooperation.

Descriptive evidence will be drawn from secondary sources, including Morck (2010) and Wang (2024) on governance, with Maritime Customs reports for trade and revenue patterns; and Guinnane (2001) and Edwards & Ogilvie (1996) for German banks.

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